the short time from inception to midyear the value of the infant fund's shares dropped by nearly a third.

Fortunately, the market rallied in the second half of 1970, or we could have been stillborn. And 1971 was robust; we were up 30 percent that year. But the following year we moved into a highly frustrating era. The only stocks moving higher were the big, glamorous, high-visibility companies. The stocks of small, often little-known companies, which have always been Acorn's turf, trailed badly, even though the companies themselves were performing just fine. Then, before small-company stocks had a chance to catch up, the bear market of 1973–74 arrived, and all stocks, mighty and obscure, fell off the cliff. In 1973, Acorn was down 24 percent, and in 1974, another 28 percent.

A recovery followed, but after six years the net asset value of a share of Acorn was only where it had been when we started the fund.

During those maddening years, when contemplating the stony soil in which our Acorn had been planted and trying to retain some shred of perspective and confidence, I could only shake my head and laugh. I decided then, and have reaffirmed often since, that tough markets are no time to be serious. That's when you need the tonic of comic relief.

My first quarterly newsletters to shareholders had been as serious and stuffy as those of other mutual fund managers. I pontificated about monetary and fiscal policy, speculated on the likely direction of the prime rate, and poked about in piles of statistics for clues to the market's mood tomorrow and the day after. It is startling and enlightening to reread some of those first letters and find that the chief concerns of the early 1970s were inflation, the federal deficit, the balance of payments, and high interest rates. If you wait for problems to disappear before investing in stocks, you'll never commit—or earn—a penny.

Faced with a portfolio of perfectly good companies whose stocks were going nowhere, I dropped the usual high-sounding rhetoric